



is a lot of churn,” she said during a discussion in the Rajya Sabha in March.

Muted wage growth and high inflation have squeezed spending by salaried employees, an issue that has been flagged time and again by Chief Economic Advisor V. Anantha Nageswaran, including in the Economic Survey, which noted that corporate profitability hit a 15-year high even as wage growth moderated.

“Among Nifty 500 companies, the profit-to-GDP ratio surged from 2.1% in FY03 to 4.8% in FY24, the highest since FY08. However, while profits surged, wages

lagged,” the survey pointed out. A striking disparity has emerged in India Inc: profits climbed 22.3% in FY24, but employment grew a mere 1.5%, it noted.

An analysis by State Bank of India reveals that 4,000 listed firms recorded a modest 6% revenue growth in FY24. At the same time, employee expenses rose 13%—down from 17% in FY23—highlighting a focus on cost-cutting over workforce expansion, the survey said.

These findings are backed by other data sets as well. Data from the Centre for Monitoring Indian Economy on listed and unlisted firms shows that in FY24, their